

the very first signs of slowdowns or setbacks after they have launched a well-planned and organized production or sales program.

They hit the panic button and scrap the entire program, suffering heavy financial losses as a result. This is particularly true of unseasoned men who do not have the calm, cool patience to wait until more returns come in nor the experience to understand that a redoubling of efforts or even some slight modification in plan might make the program a complete success, or at least carry it through to conclusion without loss.

It has always been my contention that if corporate books were kept properly, there would be a separate ledger in which accountants entered the dollars-and-cents costs of

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executives' and businessmen's errors and mistakes.

Certainly, there would be few entries in such ledgers that would show up more glaringly than the cost of premature, defeatist cancellations of plans and programs already under way.

My 1932 bobble in turning down the Iraqi oil concession illustrates another blunder frequently made by businessmen —namely, their reluctance to take risks. A businessman has to be willing to take risks. They may be planned and calculated, but they're risks just the same. The shrewd businessman weighs all the known and, to his knowledge, possible factors in a given situation. He tries to allow for all the variables, but he is well aware that he cannot think of nor insure against every contingency. He accepts the idea that there is always a possibility that some completely unforeseen element or development will turn up to alter or even wreck his plans. He is, however, secure in the knowledge that he has done everything within his power to tip the odds for success in his own favor.

Obviously, I was not very shrewd in 1932. Had I stopped to reason things out, I would have realized that the crude-oil price-break was only a temporary problem, that the price of crude would have to go higher—much higher. I should have also realized that the demand for petroleum products